

Daily Need to Know

Wednesday, 2 September 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED 16:00 ET TUE 1 SEP (04:00 GMT+8). 2H 07M OLD AT CAPTURE.			
S&P 500	7,631.47	▼ 0.71%	Range 7,611–7,664. Closed in the lower quarter of the day. 2.37% below its 52-week high; volume 2.74bn, dead in line with the 10-day average — a rate shock, not a liquidation.
Nasdaq Composite	26,099.77	▼ 1.03%	–271pts. Low 25,995 breached 26,000 intraday. Volume 5.84bn <i>below</i> the 10-day 6.72bn — the selling was concentrated, not broad.
Dow Jones	52,766.88	▼ 0.79%	–419pts, low 52,691. 3.61% off its high.
Russell 2000	2,920.13	▼ 1.23%	Closed 3.30pts off the session low and below Hedgeye's 2,940 floor . Prior close 2,956.45 was also the session high — it never traded up.
Philadelphia SOX	11,288.60	▼ 2.14%	The day's worst major index. Now 22.97% below its 52-week high while the S&P is down 2.37% — the semis are in their own bear market.
EQUITY FUTURES — GLOBEX REOPENED 06:00 GMT+8, SEVEN MINUTES BEFORE CAPTURE; FEED IS 10-MINUTE DELAYED. THESE ARE TUESDAY'S SETTLE, NOT A LIVE OVERNIGHT TAPE.			
ES (E-mini S&P)	7,642.75	▼ 0.73%	Basis to cash +11.28 — normal carry, which confirms the cash print is a true settle. Session low 7,621.50.
NQ (E-mini Nasdaq-100)	29,125.50	▼ 1.31%	Basis to NDX cash (29,077.22) +48.28, normal. Low 29,002 — 100 index points defended the 29,000 handle.
YM (E-mini Dow)	52,828	▼ 0.77%	Basis +61. Thinnest of the four by volume (72k).
RTY (E-mini Russell)	2,924.70	▼ 1.15%	Basis +4.57. Small caps carry the rate shock most directly through funding costs.
US TREASURY YIELDS — GENUINELY LIVE, CASH MARKET TRADES CONTINUOUSLY.			
US 10-year	4.796%	▲ 4.2bp	Matched its 52-week high of 4.800% intraday. Sits at 90% of Hedgeye's 4.67–4.81 band. Press framing: highest since January 2025.
US 30-year	5.267%	▲ 2.0bp	High 5.288%. The long end moved <i>least</i> — this was a front-end inflation repricing, not a term-premium event.
US 5-year	4.559%	▲ 5.5bp	Closed at its 52-week high , the largest move on the curve. The belly is where oil gets priced.
US 13-week bill	3.872%	▲ 3.5bp	Even the bill repriced. 10s2s at 39.6bp, still positive but flattening as the 2-year (4.400%, +5.4bp) sits on its own 52-week high.
ENERGY — TUESDAY'S FUTURES SESSION. THE DAY'S REAL STORY.			
WTI crude (CL1!)	\$90.22	▲ 5.20%	+\$4.46. Range \$86.13–\$90.97. Closed above the ceiling of Hedgeye's 82.23–89.53 band by \$0.69. First \$90 handle since the July Hormuz spike.
Brent (BZ1!)	\$94.65	▲ 4.60%	+\$4.16, high \$95.45. WTI-Brent spread \$4.43, wide — the waterborne benchmark leads when Hormuz is the risk. <i>Weakest mark in this table; see Data-confidence.</i>
Natural gas (NG1!)	\$2.904	▼ 1.06%	The one energy contract that fell. Hormuz is a crude and LNG-transit story, not a Henry Hub story. Mid-band at 62% of 2.73–3.01.
RBOB gasoline	\$3.1351	▲ 1.89%	Rose far less than crude — the crack compressed. Refining margin, not pump prices, absorbed the shock on day one.
METALS — SPOT IS LIVE BUT ONLY ~7 MINUTES INTO A NEW SESSION; TUESDAY'S MOVE IS SHOWN VIA FUTURES AND ETFs.			
Gold (spot)	\$4,329.04	▼ 1.90% (GC1!)	Spot sits \$21.96 BELOW the floor of Hedgeye's 4351–4724 band. GLD –2.86%. Gold fell on the day the world went to war over a strait — dollar up, rates up, gold down.
Silver (spot)	\$64.04	▼ 2.42% (SI1!)	Spot is 0.8% off the floor of the 64–69 band — effectively pinned to it. SLV –3.68%, the worst of the metal ETFs.
Copper (spot)	\$6.4079	▼ 1.30% (HG1!)	Spot \$0.032 below the 6.44 floor . Growth-sensitive metal breaking down while energy rips is the cleanest stagflation tell on the board.
FX — SPOT ROLLED AT 17:00 ET; THE MAJORS CARRY ONLY MINUTES OF THE NEW SESSION, SO NO DAY-CHANGE IS SHOWN WHERE IT WOULD BE NOISE.			
DXU	99.653	▲ 0.24%	Range 99.353–99.722, a full session. At 84% of Hedgeye's 98.70–99.84 band, which carries a <i>bearish</i> TREND signal — price and signal disagree.

USD/JPY	160.177	◆ live, ~7min	Sitting exactly on ¥160 — the level Tokyo has treated as its political line in the sand. JGB 10-year hit 3% for the first time since 1996. The most loaded level in this document.
USD/KRW	1,374.05	▲ 0.53%	Won weaker across Tuesday's Asian session (1,367.29–1,375.08). A weak won plus a broken SOX is a hard hand for Seoul this morning.
VOLATILITY AND CRYPTO.			
VIX	16.33	▲ 9.38%	+1.40 from 14.93. Closed above the 16.28 ceiling of its band — by 0.05. Still historically low: a 16 handle on a day the US struck Iran is not fear, it is complacency being nibbled at.
Bitcoin	\$77,198	▼ 1.76%	Genuinely live and continuous — the only row here with no session caveat. Low \$76,395. Now 38.8% below its 52-week high while the S&P is 2.4% below its own. Ether –2.20%, 49.4% below its high.

Colour key: ▲ = the level rose, ▼ = the level fell, ◆ amber = a live level where the measured window is too short for any change to be meaningful. Colour carries the read rather than the direction: green is risk-positive, red risk-negative — which is why rising Treasury yields, a rising dollar and a rising VIX all carry ▲ in red. Reconciliation: all 96 machine-captured instruments came from a single source this run (Yahoo circuit-broke on rate limiting); the three headline cash index closes and the 10- and 30-year yields were independently confirmed against wire and vendor copy and matched exactly. Cash index arithmetic is self-consistent across close, change and prior close for all five equity rows. Futures-to-cash basis is normal on all four contracts, confirming the settles are settles. Full detail in section 18.

TL;DR

The United States struck IRGC targets inside Iran at midday New York time and crude closed up 5.2% at \$90.22 — and the equity market fell less than 1%. That gap is the story. The repricing did not happen in stocks; it happened in bonds, where the 2-, 5- and 10-year yields all closed at or on their 52-week highs, and in the global bond market, where the Japanese 10-year touched 3% for the first time since 1996 and the 10-year gilt reached 5.23%.

Eight of the eighteen measurable Hedgeye risk ranges are broken. Credit (HYG, LQD), small caps, equal-weight, gold and copper are all through their floors; crude and the VIX are through their ceilings. When two-fifths of the board breaks in one session, the ranges themselves are the signal, not any single price.

What Asia opens into: USD/JPY at exactly 160.18. Tokyo's intervention line, a 3% JGB and a BoJ expected to move this month, all colliding at once. Korea opens with the SOX down 2.14% and the won 0.53% weaker. The single instrument most likely to move today is the yen, not the index.

2 The big picture — what it means

1. The equity market did not price the war; the bond market priced the inflation. A 5.2% move in crude on a live military exchange around the Strait of Hormuz would, in most regimes, take 2% off the S&P. It took 0.71%. Meanwhile the 5-year yield rose 5.5bp to a fresh 52-week high of 4.559% and the 2-year rose 5.4bp to 4.400%, also a 52-week high. The market's judgement is that Hormuz is an inflation event with a policy consequence, not a growth event with an earnings consequence. That judgement is testable and it gets tested on Friday.

2. This was a global bond event that happened to be reported from New York. The Japanese 10-year reached 3% for the first time since 1996 and the 5-year set a record 2.26%. The 10-year gilt hit 5.23%, its highest since the financial crisis, with the 30-year at 5.90% for the first time since the late 1990s. Germany's 10-year at 3.35% is the highest since 2011, France's 4.21% the highest since 2008. The US 10-year at 4.796% is the *least* dramatic member of that list. Anyone reading the US tape alone read the smallest part of the move.

3. The damage inside the index is far worse than the index. The S&P closed 2.37% below its 52-week high. The SOX closed 22.97% below its. Bitcoin is 38.8% below its; Ether 49.4%; Meta 26.8%; Tesla 28.6%; Applied Materials 40.3%; Oracle 59.1%. An index two percent off its high is sitting on top of a factor-level drawdown that has already happened. Hedgeye's own read on Tuesday's Macro Show was that high-beta momentum has round-tripped to its August lows and that the scale of that damage, with the market this close to highs, is the whole point.

4. Rates are now the transmission mechanism into single stocks, and Oracle is the proof. Oracle fell 5.23% to \$141.32 — not on a product problem but on a funding problem. It raised \$43bn of debt in fiscal 2026 to fund \$55.7bn of capital expenditure, spending \$23.7bn more than the business generated, and expects roughly \$40bn more of combined debt and equity financing in fiscal 2027. It is the most leveraged of the mega-cap AI builders, and on a day the 10-year matched a 52-week high it was the worst large-cap performer on the board. The AI trade has acquired a duration.

5. The rotation inside Tuesday was textbook stagflation, and it was orderly. Four of eleven sectors rose: energy +1.27%, utilities +0.78%, health care +0.66%, staples +0.32%. Seven fell, led by discretionary –1.72%, technology –1.53% and industrials –1.37%. That is defensives and real assets up, cyclicals and long-duration growth down. Equal weight (RSP –0.82%) lagged cap weight (SPY –0.69%) by only 13bp, so this was not a breadth collapse — it was a deliberate reallocation along the growth/inflation axis.

6. Gold failing here is the most uncomfortable fact in this brief. Spot gold closed *below* the floor of its risk range on the day of a US strike on Iran, with gold futures –1.90% and GLD –2.86%. Silver –2.42%, copper –1.30%. The mechanical explanation is clean — dollar up, real rates up, metals down — and it is the explanation

Hedgeye's own deck gave. But it means the hedge that is supposed to work in this exact scenario did not work in this exact scenario, and that is worth more than any comfortable narrative about it.

7. Volatility is the tell that nobody is hedged. The VIX rose 9.38% to 16.33 — and 16.33 is a number that, in isolation, describes a quiet market. The US bombed Iran at lunchtime and the VIX printed a 16 handle. Hedgeye's Tuesday framing was that dealer gamma remains positive and the range top was 16.28, so the playbook stays buy-weakness. The band has now been exceeded, by five hundredths of a point. Either that is noise, or it is the first crack in the mechanism that has been suppressing realised volatility all summer.

3 Rates, currencies & commodities

- **The curve repriced from the belly out.** 5-year +5.5bp, 2-year +5.4bp, 10-year +4.2bp, 30-year +2.0bp, 13-week bill +3.5bp. The long end moved least. This is an inflation-expectations move being absorbed by the part of the curve the Fed controls, not a fiscal or term-premium event. 10s2s finished at 39.6bp.
- **Bond volatility rose but stayed contained.** The MOVE index closed 77.88, +3.39%, against a 52-week range of 55.77–115.02. A 78 handle on a day when four sovereign bond markets set multi-decade yield highs is a market that is repricing the level, not the risk.
- **Credit cracked quietly and that matters more than the equity close.** LQD closed at \$105.22 — one cent above its 52-week low of \$105.21 — and below the floor of its risk range. HYG closed \$79.10, also below its floor, with its own 52-week low at \$78.57 just 0.7% away. TLT at \$81.87 is within 0.9% of its 52-week low. Investment grade, high yield and duration all broke together.
- **The dollar rose but its signal disagrees with its price.** DXY +0.24% to 99.653, at 84% of its risk range — a range Hedgeye tags *bearish* on TREND. When a bearish-trend asset trades toward the top of its band, that is the setup to fade, not to follow.
- **The yen is the pressure point.** USD/JPY at 160.18 sits precisely on the level Japanese officials have defended, following an intervention earlier this cycle that took the pair from roughly ¥164 to ¥155. With the 10-year JGB at 3% and a BoJ move expected this month, the yen is being squeezed between a policy floor and a rate differential that will not close on its own.
- **The offshore renminbi is the quiet outlier.** USD/CNH at 6.7213 sits within 0.1% of its 52-week strongest level of 6.71465. Every other Asian currency in this capture is weakening into the dollar; the yuan is not. That divergence is doing work for the region's terms of trade.
- **Wheat set a fresh 52-week high.** Chicago SRW +1.10% to 782.50, with the session high of 792.25 matching the 52-week high exactly. Energy and food repricing in the same session is what makes this a stagflation print rather than an oil print.

4 Hedgeye — regime, risk ranges & the Quad path

DASHBOARD	READING
Live risk-range set	Early Look, " Global #Quad3 In Q3 Continues ", Keith McCullough, published 1 Sep 07:50 ET = 19:50 GMT+8, 1 Sep . Superseded by tonight's edition, ~19:50 GMT+8 today.
US Quad path	3 → 1 → 1 → 2 → 2 , per the Macro Show summary of 1 Sep. Reported outside quotation marks: that summary is AI-generated and carries its own error caveat.
Global Quad	Global #Quad1 ended pre-war in Q1 2026 · Global #Quad3 in Q2 · Global #Quad3 in Q3 remains the Nowcast · potentially #Quad2 in Q4.
Core macro shorts	TLT, ZROZ, LQD, JOJO, XLU. At least five of the top ten macro shorts are fixed-income ETFs. Utilities is described as the #1 bet against US stocks.
Position changes, 1 Sep	ETF Pro Plus, 22:35 GMT+8: ADD long Gold Miners (GDX) and Turkey (TUR); REMOVE long Dividend Yield (VYM) and Short Corporate Bond (VCSH). Signal Strength Stocks, 23:17 GMT+8: 72 names, added Newmont (NEM); removed SYF, AFRM, CSX, EMR, OMF, BLMN, FWONK, DELL.
Band moves vs prior day	UNKNOWN. The prior session's Early Look could not be reached — the category feed does not paginate and page 2 returned the identical 1 Sep note on retry. Floor, ceiling and width changes are therefore not stated. This is not a claim that they were unchanged.

Risk Range™ Signals — where the live print actually sits

INSTRUMENT	IMMEDIATE-TERM RANGE	TREND	WHERE IT STANDS NOW
UST 10-year yield	4.67 – 4.81	bullish	4.796 — 90% of band , 1.4bp from the ceiling. This is the level Keith said to cover shorts into.
High Yield (HYG)	79.49 – 79.99	bullish	79.10 — BROKEN, \$0.39 below floor . Price and bullish signal now in conflict.
Inv. Grade (LQD)	105.4 – 106.8	bearish	105.22 — BROKEN, \$0.18 below floor , and 1c off its 52-week low. Bearish signal confirmed by price.
S&P 500	7,627 – 7,748	bullish	7,631.47 — 3.7% of band . Just 4.47pts of cushion above the floor. The most consequential level today.

NASDAQ Composite	25,877 – 26,601	bullish	26,099.77 — 30.8% of band. The widest cushion of the US equity trio.
Russell 2000	2,940 – 3,034	bullish	2,920.13 — BROKEN, 19.87pts below floor. Small caps led the break.
Health Care (XLV)	168 – 177	bullish	171.67 — 40.8% of band. Mid-range, up on the day, signal intact. The cleanest long on the board.
Equal Weight (RSP)	218.00 – 223.00	bullish	217.59 — BROKEN, \$0.41 below floor. The average stock is through its range even as the index is not.
Software (IGV)	104.00 – 113.00	bullish	<i>Not captured this run — see KNOWN GAPS. Position within band unmeasured.</i>
Shanghai Composite	3,880 – 4,008	neutral	3,979.89 — 78.0% of band, on the previous close. Upper third.
Nikkei 225	64,890 – 66,772	bullish	66,215.12 — 70.4% of band, on the previous close. 557pts of headroom into a 3% JGB.
German DAX	25,878 – 26,601	bullish	25,970.11 — 12.7% of band after –1.10%. 92pts from breaking.
VIX	14.03 – 16.28	bearish	16.33 — BROKEN, 0.05 above ceiling. Marginal, but it is a break of a bearish-signalled ceiling.
US Dollar Index	98.70 – 99.84	bearish	99.653 — 83.6% of band. Trading toward the top of a bearish range.
WTI crude (continuous)	82.23 – 89.53	bullish	90.22 — BROKEN, \$0.69 above ceiling. Bullish TREND plus a ceiling break is the strongest directional pairing here.
Nat gas (continuous)	2.73 – 3.01	neutral	2.904 — 62.1% of band. The only commodity behaving.
Gold spot	4,351 – 4,724	bullish	4,329.04 — BROKEN, \$21.96 below floor. Measured on spot, the series Hedgeye names; gold futures at 4,396.40 would have wrongly shown it inside the band.
Copper spot	6.44 – 6.71	bullish	6.4079 — BROKEN, \$0.032 below floor. Measured on spot; copper futures at 6.6005 would have wrongly shown 60% of band.
Silver spot	64 – 69	bullish	64.04 — 0.8% of band. Not broken, but pinned to the floor.

Positions computed on the live capture at 06:07:35 GMT+8 against the bands published 19:50 GMT+8 on 1 September. Metals are measured on spot (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD) and energy on the continuous contract (NYMEX:CL1!, NYMEX:NG1!), matching the series Hedgeye names in the published lines. Eight of the eighteen measurable instruments are outside their bands: six below the floor, two above the ceiling.

What Keith actually said

"Global #Quad3 in Q3 of 2026 remains our Nowcast, then potentially #Quad2 in Q4."

Keith McCullough, Early Look, 1 Sep 2026, 19:50 GMT+8 (07:50 ET)

"If 'Bond Yields' are this morning's CNBC Macro Tourist concern, someone might want to mention that the UK 10yr Gilt is +18 basis points on the day and JGB yields just hit 30-year highs. That's not a fleeting Bond Yield narrative. That's a true Global #Quad3 Bond Yield story."

Early Look, 1 Sep 2026, 19:50 GMT+8

"Our #1 bet against 'US Stocks' continues to be Utilities (XLU) which are obviously Rate Sensitive."

Early Look, 1 Sep 2026, 19:50 GMT+8

"You should cover-SOME of the following Core Shorts: TLT, ZROZ, LQD, JOJO, and XLU (those are half of my Macro shorts!) ... You should buy-MORE Gold ... You should consider buying something we're considering like Gold Miners (GDX)."

Early Look, 1 Sep 2026, 19:50 GMT+8

"I don't own GDX yet because I have the discipline to not chase. I have patience at my core and wait for corrections."

Early Look, 1 Sep 2026, 19:50 GMT+8. Note the timestamp: GDX was added long to ETF Pro Plus at 22:35 GMT+8 the same day, and closed –3.90%.

"Historically, Gold LOVES #Quad3. Yes, all CAPS. Intentional! ... I'm not in the prophecy business. I'm in the timestamps business."

Early Look, 1 Sep 2026, 19:50 GMT+8

From the Macro Show, 1 Sep, 22:29 GMT+8 — attributed summary, not quotation. The published notes are AI-generated and carry an explicit error caveat, so they are reported here outside quotation marks. Keith framed the VIX range top at 16.28 and said the S&P had made lower highs for three days, but that with the VIX still low this pointed to consolidation rather than a bearish breakdown; the deck added that dealer gamma remains positive, so the playbook is to buy weakness and fade strength until that changes. He said Hedgeye is long software and not semis, and that health care and software are the two strongest sector styles on signal strength. On energy he said Hedgeye is long OIH rather than XLE. On Asia, he put the KOSPI immediate-term trade level near 6,912 and said that because Korea sits below it, Hedgeye is not buying semiconductors and is looking for where to short South Korean semis. On single names: Amazon long, Alphabet bearish TREND, and Tesla a short setup, with the

leverage in its zero-day call activity described as gargantuan. On Europe, buy more Spain, with Germany, Greece and France under consideration. On metals, gold and copper both bullish TREND and buy-the-dip including miners, while silver was retesting TREND and carried too much whipsaw to chase.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
Apple (AAPL)	325.13	▲ 2.61%	\$4.75tn	The day's standout, +\$8.28 off a \$314.73 low. The only mega-cap with no AI-capex leverage and no debt-funded buildout — on a rates day, that is the whole trade.
NVIDIA (NVDA)	217.44	▼ 1.51%	\$5.24tn	Fell less than the SOX (−2.14%) on 109m shares. Still the largest company on the board; the semis damage is happening around it, not to it.
Microsoft (MSFT)	501.02	▼ 1.24%	\$3.72tn	Held the \$500 handle by a dollar. Low \$496.78 — it traded through and recovered.
Alphabet (GOOGL)	335.02	▼ 1.28%	\$4.08tn	Tagged bearish TREND by Hedgeye on Tuesday's show. 18.0% below its 52-week high — the worst positioned of the four largest.
Amazon (AMZN)	254.92	▼ 1.87%	\$2.75tn	Held long by Hedgeye through the fall. Closed near the session low of \$251.93.
Meta (META)	578.54	▲ 1.08%	\$1.47tn	Second of only two Mag7 gainers, +\$6.20 off a \$556.10 low — a 4.0% intraday reversal. But still 26.8% below its 52-week high of \$790.80.
Tesla (TSLA)	356.09	▼ 3.22%	\$1.41tn	Worst of the seven. Named as a short setup on Tuesday's Macro Show, pinned into heavy zero-day call activity. 28.6% below its high.

Aggregate Mag7 capitalisation \$23.41tn. Two up, five down — and the two that rose (Apple, Meta) are the two with the least exposure to debt-financed AI infrastructure. Market caps are TradingView's market_cap_basic at the 06:07 GMT+8 capture and move with the last price.

6 Positioning & options

- **The VIX broke its ceiling on a 9.4% move and still only printed 16.33.** Prior close 14.93, session high 16.80. Hedgeye's band topped at 16.28 with a bearish TREND signal. A ceiling break of five hundredths is marginal — but the direction of the miss matters, because the entire buy-weakness playbook was conditioned on the range holding.
- **Dealer gamma was described as positive going into this.** That is the mechanism that has been pinning realised volatility, and it is also the mechanism that reverses hardest when spot travels far enough to flip the sign. With the S&P 4.47 points above its risk-range floor, the distance required is small.
- **Zero-day call leverage in Tesla was called out specifically** on Tuesday's Macro Show as gargantuan and part of a behavioural bubble. Tesla then fell 3.22%, the worst Mag7 performer. Pinned single-name gamma unwinding into a rates shock is the cleanest explanation available for that move.
- **High-beta momentum has round-tripped to its August lows** per the Macro Show, described as a disaster for hedge funds — with the observation that this scale of factor damage is occurring while the index is only about 2% off all-time highs. Our capture agrees: the S&P is 2.37% below its 52-week high.
- **Breadth was not the problem.** RSP −0.82% against SPY −0.69% is a 13bp equal-weight lag — narrow. This was a factor rotation, not a participation collapse. But RSP still closed below its risk-range floor, so the average stock is in worse technical shape than the average day suggests.
- **Volume argues against forced selling.** S&P volume 2.74bn against a 10-day average of 2.73bn; Nasdaq volume 5.84bn against a 10-day average of 6.72bn — 13% below normal. Nobody was liquidating. That cuts both ways: no capitulation has occurred either.

7 Sector rotation — leaders & laggards

SECTOR (SPDR)	LAST	DAY	NOTE
Energy (XLE)	64.77	▲ 1.27%	Best sector. Closed \$0.18 — 0.28% — below its own 52-week high of \$64.95.
Utilities (XLU)	42.56	▲ 0.78%	Second best, on a day yields rose. Awkward for the "#1 bet against US stocks".
Health Care (XLV)	171.67	▲ 0.66%	Mid-band on its risk range, bullish TREND. JNJ +2.01%, UNH +1.77%.
Staples (XLP)	85.25	▲ 0.32%	Fourth and last gainer. Defensive complex swept the board.
Real Estate (XLRE)	44.04	▼ 0.16%	Barely down despite the rate move — the smallest decline of the seven losers.
Communications (XLC)	110.88	▼ 0.52%	Cushioned by Meta +1.08% against Alphabet −1.28%.
Financials (XLF)	57.20	▼ 0.88%	Fell despite higher yields — credit spreads, not net interest margin, set the tone.
Materials (XLB)	52.07	▼ 1.18%	Copper through its floor did the damage.
Industrials (XLI)	172.73	▼ 1.37%	Fuel cost plus funding cost, both against it in one session.
Technology (XLK)	183.64	▼ 1.53%	Second worst. The long-duration cash-flow trade repricing to a 4.80% discount rate.

Discretionary (XLY) 114.59 ▼ **1.72%** Worst sector, dragged by Tesla -3.22%. Petrol at the pump is a discretionary tax.

- **Leaders:** energy, utilities, health care, staples — four of eleven higher. Three of those four are defensives and the fourth is the direct beneficiary of the event that caused the sell-off. There is no ambiguity about what was being bought.
- **Laggards:** discretionary, technology, industrials, materials. Every one of them is either long-duration, energy-consuming, or both. Semis specifically: SOXX -2.10%, SMH -2.05%, SOX index -2.14%.
- **The rotation is a clean Quad3 expression** — real assets and inelastic demand up, cyclical and long-duration down — with one glaring inconsistency: utilities rose 0.78% on a day the 5-year yield made a 52-week high. Rate-sensitive defensives are not supposed to work in that tape. Either the defensive bid overwhelmed the rate sensitivity, or the utilities short is under pressure for reasons the rate move alone does not explain.

8 Forward — futures & the week ahead

There is no meaningful overnight tape to report this morning, and saying so is more useful than pretending otherwise. Globex reopened at 06:00 GMT+8, seven minutes before capture, and the futures feed carries a ten-minute delay — so every futures level in section 1 is Tuesday's settle rather than a fresh print. Spot FX and spot metals rolled at 17:00 ET and carry the same seven minutes, which is why the euro's measured range this morning is seven pips and the yen's is six: those are not moves, they are the absence of moves. The genuinely live rows are the Treasury curve, the VIX, and crypto. Bitcoin, which trades through everything, is down 1.76% at \$77,198 with a low of \$76,395 — the one continuously-traded risk asset available, and it is lower. Asia therefore opens into Tuesday's settles plus roughly nine hours of unpriced headlines, of which the US strikes on Iran, timed at midnight GMT+8, are the largest.

DAY (GMT+8)	KEY EVENTS
Wed 2 Sep — today	Asia opens into the strike headlines: Tokyo/Seoul 08:00-08:30, Hong Kong 09:30, India 12:15. ADP private payrolls, 20:15 — the first labour reading of the week and the warm-up act for Friday. US cash open 21:30.
Thu 3 Sep	ISM Services, 22:00. After a manufacturing miss, the services print carries the forward-looking read on business activity and hiring — and the prices-paid component is where a \$90 crude first shows up in the data.
Fri 4 Sep	BLS Employment Situation, 20:30. Consensus +91,000 non-farm payrolls, unemployment rate ticking to 4.3%. This is the week's event. With the 2- and 5-year yields already at 52-week highs, a strong print has an obvious asymmetry.
This week	AMD earnings (date unconfirmed against the exchange calendar — treat as secondary-source). Bank of Japan expected by the market to move on rates this month, with the 10-year JGB at 3% and USD/JPY at the intervention line.

Calendar dates verified against the day of week: 4 September 2026 is the first Friday of the month and the scheduled Employment Situation release. One secondary source in the search set placed the release on "Friday, September 5" — 5 September is a Saturday, and that reference is disregarded.

9 Corporate news

- **Dell fell 6.80% to \$425.00 in the regular session, then rose 7.11% to \$455.21 after the bell.** The single largest reversal on the board. Dell is the clearest public read on AI server demand, and the after-hours move says the read was good — after a day in which the market sold it anyway. Note the cross-current: Dell was *removed* from Hedgeye's Signal Strength Stocks list on Tuesday morning, hours before it reported.
- **MongoDB fell 4.23% to \$434.21 and then a further 12.37% to \$380.50 after hours** — the worst post-close reaction of the session. Credo Technology fell 8.65% in the session and another 8.71% after the bell to \$188.63, having already been 33% below its 52-week high going in.
- **Cybersecurity was the day's worst pocket.** CrowdStrike -6.90%, Palo Alto Networks -5.24% (a further -1.80% after hours on its results), Zscaler -5.32%. Wire coverage put Palo Alto and CrowdStrike at the centre of the software sector's decline. That is a striking sector to lead lower on a day the US conducted military strikes.
- **Oracle fell 5.23% to \$141.32 and is now 59.1% below its 52-week high of \$345.72** — the deepest drawdown of any large-cap in this capture. The mechanism is rates, not demand: \$43bn of debt raised in fiscal 2026, \$55.7bn of capex, \$23.7bn of cash burned beyond what the business generated.
- **The gold complex was sold into Hedgeye's buying.** GDX -3.90% on 31.3m shares on the day it was added long to ETF Pro Plus; Newmont -2.72% on the day it was added to Signal Strength Stocks. Both recovered modestly after hours (GDX +0.70%, NEM +0.20%). Buying into a down day is the stated method, but the entries are underwater as of this capture.
- **Semiconductor capital equipment took the heaviest single-name damage.** Applied Materials -3.61% to \$441.85, now 40.3% below its 52-week high. Micron -2.64%, AMD -2.36%. Intel held up comparatively at -0.60%.
- **Medtronic rose 1.53%** after beating on earnings and revenue and raising fiscal 2027 guidance — a reminder that health care was the third-best sector and that the defensive bid had fundamental support underneath it.

- **Index mechanics, not fundamentals, drove Monday's close.** Per Tuesday's Macro Show, Monday 31 August was the MSCI quarterly effective date, forcing index-tracking rebalances at the close, with SanDisk, Carpenter Technology and Allegheny/ATI added. SanDisk fell 1.90% on Tuesday to \$1,536.87. Where an extreme move has a clear mechanical cause, the reversion back toward fair value is the thing to watch.

10 Macro data

- **ISM Manufacturing PMI (August): actual 54.6 vs consensus 55.2, prior 55.6.** A 0.6-point miss and a 1.0-point sequential decline. Released 1 September at 10:00 ET — two hours before the strikes on Iran began, so the day's equity weakness had a domestic cause before it acquired a geopolitical one.
- **The miss is the story, and its composition matters more than its level.** 54.6 is the eighth consecutive month of manufacturing expansion, so this is not a contraction signal. But a decelerating manufacturing print arriving in the same week as a \$4.46 move in crude is precisely the growth-down, inflation-up combination that defines Quad3 — and it arrived on the day Hedgeye published a note titled "Global #Quad3 In Q3 Continues".
- **JOLTS job openings were also scheduled for Tuesday.** The figures were not verified against the releasing agency in this run and are therefore not printed. See KNOWN GAPS.
- **The data that actually moved the curve was not American.** Japan's 10-year JGB reached 3% for the first time since 1996 and the 5-year set a record 2.26%; the UK 10-year gilt hit 5.23%; Germany's 10-year 3.35%, its highest since 2011; France's 4.21%, its highest since 2008. The US 10-year at 4.796% was the smallest move in that group.
- **Consensus for Friday: +91,000 payrolls, unemployment 4.3%.** Reuters survey. With ISM manufacturing already softer and energy costs jumping, the labour print is the swing factor between a Quad3 stagflation read and a Quad2 reflation read — and Hedgeye's own path notation of 3→1→1→2→2 has Quad2 on the horizon.

11 Geopolitics

- **▲ US forces began striking IRGC targets inside Iran at 12:00 ET on 1 September** — midnight GMT+8, the top of today. US Central Command said the strikes responded to attempted Iranian attacks on commercial shipping in the Strait of Hormuz and on US service members in the region. Targets included sites near the port city of Bandar Abbas, and at Konarak, Chabahar, Qeshm and Sirik.
- **◆ President Trump said separately the strikes retaliated for Iran's attempted mine-laying operations and for attacks on a US military base in Jordan.** Reports that Iran responded with missile and drone attacks on US facilities in Jordan are attributed to press accounts and are not independently confirmed here.
- **▲ Two supertankers carrying Saudi crude were struck by unknown projectiles within minutes of each other** while transiting outbound through the Strait late on Monday. Attribution for those strikes has not been established by any source seen this morning, and the projectiles are described as unknown — that qualifier belongs in any retelling.
- **▼ The market's read on all of this was a 0.71% decline in the S&P 500.** Crude priced the disruption in full; equities priced it as a commodity event. Either equities are correct that Hormuz flows continue, or the strait is the largest unpriced risk on the board.
- **◆ Hormuz risk is now recurring rather than episodic.** Brent reached roughly \$105 in late July on tanker attacks and reduced transits, then fell back toward \$69 in early July after a US-Iran memorandum of understanding signed in June. The June understanding has not held. Pricing this as a one-off spike has been the losing position three times this year.
- **◆ The second-order channel runs through Tokyo.** Japan imports essentially all of its crude and a large share of it transits Hormuz. A \$90 WTI arriving with the yen at 160 and the 10-year JGB at 3% compounds an import-inflation problem that intervention alone cannot fix — which is precisely why the market expects the Bank of Japan to move this month.

12 Overnight setup — what Asia opens into

INSTRUMENT	LEVEL	CHANGE	VOLUME	STATUS
ES (E-mini S&P)	7,642.75	▼ 0.73%	1,541,395	Tuesday settle
NQ (E-mini Nasdaq)	29,125.50	▼ 1.31%	545,209	Tuesday settle
YM (E-mini Dow)	52,828	▼ 0.77%	72,172	Tuesday settle
RTY (E-mini Russell)	2,924.70	▼ 1.15%	173,430	Tuesday settle
USD/JPY	160.177	◆ ~7 min	—	Live spot
USD/KRW	1,374.05	▲ 0.53%	54,339	Asian session
USD/TWD	31.7875	▲ 0.25%	31,276	Asian session
USD/CNH	6.7213	◆ ~7 min	—	Live spot

EUR/USD	1.15939	◆ ~7 min	—	Live spot
Gold spot	4,329.04	◆ ~7 min	—	Live spot
Silver spot	64.04	◆ ~7 min	—	Live spot
Copper spot	6.4079	◆ ~7 min	—	Live spot
WTI crude	90.22	▲ 5.20%	300,045	Tuesday settle
Brent crude	94.65	▲ 4.60%	37,983	Tuesday settle
Bitcoin	77,198	▼ 1.76%	—	Genuinely live
Ether	2,413.50	▼ 2.20%	—	Genuinely live

Previous Asian and European closes, for reference — all marked as previous closes, none live: Nikkei 66,215.12 (−0.15%) · Hang Seng 25,329.74 (−0.93%) · KOSPI 6,835.81 (+0.23%) · Shanghai Composite 3,979.89 (−0.16%) · ASX 200 9,066.70 (−0.10%) · Sensex 76,944.28 (−0.02%) · DAX 25,970.11 (−1.10%) · Euro Stoxx 50 6,368.99 (−0.80%) · FTSE 100 10,789.29 (−0.32%) · CAC 40 8,301.86 (−0.39%) · IBEX 35 19,824.01 (−0.75%).

- **The US hands Asia a defensive tape with an energy bid and a broken semiconductor complex.** Energy, utilities, health care and staples were the only sectors higher; technology and discretionary were the worst. For a region whose indices are semiconductor-weighted, the handover is unfavourable in exactly the place it hurts.
- **Korea is the most exposed market on the board.** The KOSPI closed +0.23% at 6,835.81, but Hedgeye's immediate-term trade level sits near 6,912 — roughly 1.1% above the close, and the stated reason Hedgeye is not buying semis and is instead looking for where to short South Korean semis. Seoul now opens with the SOX down 2.14%, the won 0.53% weaker at 1,374.05, and that level still overhead.
- **Japan opens into the tightest bind.** The Nikkei closed −0.15% at 66,215 and sits at 70% of its risk range with 557 points of headroom. Against that: a 10-year JGB at 3% for the first time in thirty years, USD/JPY pinned at the ¥160 intervention line, a BoJ move expected this month, and crude up 5.2% into an economy that imports all of it. Japanese equities and the Japanese bond market are being asked to price opposite things.
- **Taiwan and Hong Kong sit either side of the semis problem.** USD/TWD 31.7875, weaker by 0.25% across the Asian session, into a US semiconductor tape that just fell 2.14% — Taipei has the most direct read-through. Hong Kong closed −0.93% at 25,329.74 and has the offshore yuan at 6.7213, within 0.1% of its 52-week strongest, cushioning it.
- **The single instrument most likely to move today is USD/JPY.** Not an equity index. It is sitting on a defended round number, with a central bank expected to act within the month, a thirty-year high in domestic yields, and an oil shock arriving on the import bill overnight. Every one of those points the same direction, and the level that has been holding is a policy choice rather than a market clearing price.

13 AI watch

- **The AI trade now has an interest-rate beta, and Tuesday measured it.** Oracle −5.23% on a 4.2bp move in the 10-year is not a coincidence; it is the most leveraged AI builder meeting the highest 10-year yield in a year. Cloud infrastructure underperformed broad large-cap tech on the day, with reporting noting the cloud ETF SKYY down 2% against QQQ's 1%.
- **The debt figures are the constraint.** Oracle's fiscal 2026 capex of \$55.7bn against \$21.2bn the prior year, funded by \$43bn of borrowing and \$5bn of stock, with roughly \$40bn more of combined financing expected in fiscal 2027. Every 10bp on the curve is now a line item in the AI buildout.
- **Dell's after-hours reversal is the counter-evidence.** Down 6.80% in the session, up 7.11% after the close — the clearest listed read on AI server demand, and it says demand is intact. The market is separating the companies that *sell* the buildout from the ones that *finance* it, and pricing them in opposite directions.
- **Semiconductor capital equipment is where the drawdown is deepest.** Applied Materials 40.3% below its 52-week high, the SOX index 23.0% below its. Whatever is being priced in the equipment names is more severe than anything visible in the AI narrative or in Nvidia's own 1.51% decline.
- **Memory held up better than logic.** Micron −2.64% and SanDisk −1.90% against AMD −2.36% and the broad SOX −2.14%. SanDisk's move is partly mechanical, following its addition to MSCI indices at Monday's rebalance, and mechanical moves revert.
- **Nothing new and dated to 1 September was verified on the model or capex-announcement side.** Searches surfaced only prior-period partnership and roadmap material, which is not reported here. Absence of a verified announcement is not evidence there was none.

14 Beyond the markets

- **The most important number in this brief is a Japanese one, and almost nobody will lead with it.** A 3% 10-year JGB is the end of a thirty-year monetary experiment. Japan is the world's largest creditor nation; when its domestic bonds finally pay something, the capital that has spent three decades funding assets everywhere else has a reason to come home. That is a slower and larger story than a strike on Bandar Abbas.

- **Wheat quietly set a 52-week high on the same day as the oil spike.** +1.10% to 782.50, with the session high of 792.25 matching the 52-week peak exactly. Energy inflation that arrives alone is a tax; energy plus food inflation arriving together is a political event, and it is the combination that historically forces central banks to act against their own growth forecasts.
- **Investment-grade credit closed one cent above its 52-week low.** LQD \$105.22 against a low of \$105.21. High yield is 0.7% from its own. Nothing in the equity close communicated this, and credit has a long record of being right first.
- **The crypto drawdown already happened while nobody called it a crisis.** Bitcoin is 38.8% below its 52-week high and Ether 49.4%. Those are magnitudes that, in equities, would dominate every front page. The asset class that was meant to be the inflation hedge and the war hedge simultaneously has been in a bear market throughout the period when both arguments were strongest.
- **Four of the eleven S&P sectors rose on a day the US bombed Iran, and one of them was utilities.** Rate-sensitive defensives rising while the 5-year yield sets a 52-week high should not happen. It is the single internal contradiction in an otherwise coherent session, and it is more likely to be information than noise.

15 Appendix — stock cards

ORCL · ORACLE

141.32 ▼ 5.23%

Cap \$407bn · 59.1% below 52-wk high \$345.72 · No Hedgeye band published · Fiscal Q1 results expected mid-September (unconfirmed)

The purest expression of the rates-into-AI transmission. Funding cost, not demand, is doing this. Watch whether the next financing round prices at all, and at what spread — that is the number that decides the AI capex cycle, not any GPU shipment figure.

AAPL · APPLE

325.13 ▲ 2.61%

Cap \$4.75tn · 5.6% below 52-wk high \$344.57 · No Hedgeye band published · Range 314.73–327.30 on 53.1m shares

Rose 2.61% while the Nasdaq fell 1.03%. The one mega-cap that is not financing a data-centre buildout, in a session that punished exactly that. A 4.0% intraday recovery off the low on above-average volume is a real bid, not a drift.

DELL · DELL TECHNOLOGIES

425.00 ▼ 6.80%

Cap \$276bn · After hours **+7.11% to 455.21** · Removed from Hedgeye Signal Strength Stocks 1 Sep, 23:17 GMT+8 · Reported after Tuesday's close

The largest reversal on the board and the cleanest listed read on AI server demand. Sold hard through the session, then reclaimed all of it and more after the print. Note the timing against the signal removal hours earlier — the momentum signal and the fundamental result disagreed on the same day.

TSLA · TESLA

356.09 ▼ 3.22%

Cap \$1.41tn · 28.6% below 52-wk high \$498.83 · Named a short setup on the Macro Show, 1 Sep 22:29 GMT+8 · No published band

Worst Mag7 performer. Called out specifically for gargantuan zero-day call leverage and described as part of a behavioural bubble — then fell 3.22%. Pinned single-name gamma unwinding into a rates shock explains the size of the move better than anything in the fundamentals.

GDX · VANECK GOLD MINERS

94.67 ▼ 3.90%

Cap n/a · 19.2% below 52-wk high \$117.18 · **Added long to Hedgeye ETF Pro Plus, 1 Sep 22:35 GMT+8** · 31.3m shares · After hours +0.70%

Added long the same morning the Early Look said it had not been bought because of the discipline not to chase — and it then fell 3.90%. Buying into weakness is the stated method, so this is method working as designed, but the entry is underwater and gold spot is below its own band floor.

AMAT · APPLIED MATERIALS

441.85 ▼ 3.61%

Cap \$351bn · **40.3% below 52-wk high \$739.67** · No published band · 7.1m shares

The deepest semiconductor drawdown outside the memory names. Equipment orders lead the cycle, and a 40% drawdown in the sector's capital-equipment bellwether says something the SOX's 23% does not. The single most informative chart in the semis complex right now.

LQD · ISHARES IG CORPORATE

105.22 ▼ 0.93%

Band **105.4–106.8, bearish TREND · BROKEN, \$0.18 below floor** · 52-wk low \$105.21 — closed one cent above it · Core Hedgeye short

A core short that is working, and the row in this brief most likely to matter tomorrow. Investment-grade credit at a 52-week low while equities are 2.4% off their high is a divergence that historically resolves toward credit. Keith advised covering some duration shorts into this move.

MDB · MONGODB

434.21 ▼ 4.23%

Cap \$34.9bn · After hours **–12.37% to 380.50** · No published band · Reported after Tuesday's close

The worst post-close reaction of the session, and the counterweight to Dell. Software was where Hedgeye was long rather than semis; a 12% after-hours break in a high-multiple software name is the first real challenge to that preference this week.

16 About this edition

- **Covers** — the US cash session of Tuesday 1 September as settled at 16:00 ET (04:00 GMT+8), the after-hours tape through 18:00 ET, the Globex reopen, and the full Hedgeye evening publication set.
- **Captured** — 06:07:35-06:07:37 GMT+8, a 2.5-second window, TradingView bulk scan, 96 of 96 instruments returned. A 13-instrument top-up for the after-hours reporters ran at 06:11:00, inside the ten-minute standard. Source divergences are reconciled in section 18.
- **Unusual about this run** — the capture landed seven minutes after Globex reopened at 06:00 GMT+8, and the futures feed carries a ten-minute delay. Every futures, spot-FX and spot-metal row is therefore Tuesday's settle or a few minutes of a new session, not an overnight tape. Yahoo Finance circuit-broke on rate limiting after five consecutive HTTP 429s, so the machine capture is single-sourced; the cross-check was recovered by hand against wire copy.
- **Settled vs live** — settled: all cash equities, all four equity futures, all commodities, the sector ETFs and every single stock. Genuinely live: the Treasury curve, the VIX, Bitcoin and Ether. Live but only minutes old, and so shown without a meaningful day-change: spot FX majors and spot gold, silver and copper. Stalest rows are the cash equity closes at 2 hours 7 minutes; previous Asian and European closes are older and labelled as such.
- **Hedgeye edition** — FULL HEDGEYE EDITION. The live risk-range set is the Early Look "Global #Quad3 In Q3 Continues" by Keith McCullough, published 19:50 GMT+8 on 1 September; tonight's edition at roughly 19:50 GMT+8 supersedes it. Also read: the Macro Show summary notes and replay (22:29 GMT+8), the ETF Pro Plus update (22:35), and Signal Strength Stocks (23:17).
- **Quad path** — 3 → 1 → 1 → 2 → 2, from the Macro Show summary of 1 September. This is an explicit path notation and it is reported as attributed summary rather than quotation, because the summary is AI-generated. No change versus the prior stated path can be asserted, because the prior Early Look could not be reached.
- **Not available** — the Hedgeye Monthly Inflation Nowcast (13:29 ET), which sits outside this account's subscription tier; the prior session's Early Look, and therefore all band-move comparisons; the IGV level; and JOLTS figures.

17 Sources

Prices. TradingView bulk scanner, 06:07:35-06:07:37 GMT+8 and a top-up at 06:11:00, 109 instruments in total. Yahoo Finance was attempted concurrently and aborted on rate limiting. Independent confirmation of the headline closes came from Associated Press and CNBC wire copy and from Trading Economics for commodities and yields.

Hedgeye. The authenticated app feed, read 06:08-06:12 GMT+8: Early Look (1 Sep, 19:50 GMT+8), The Macro Show summary notes and replay (22:29), ETF Pro Plus update (22:35), Signal Strength Stocks (23:17). The Monthly Inflation Nowcast was outside this tier.

Macro and policy. Institute for Supply Management for the August Manufacturing PMI via its own release and PR Newswire; Reuters survey consensus for Friday's payrolls; Newsquawk and Schwab Network for the week-ahead calendar, verified against the day of week.

Session narrative and single stocks. CNBC, Associated Press, Yahoo Finance, The Motley Fool, 24/7 Wall St and Barchart for the 1 September recap, the Oracle decline and the after-hours reporters.

Commodities, geopolitics and rates. Washington Post, Washington Times, Defense News and Reuters for the strikes on Iran and the Strait of Hormuz; Reuters, Bloomberg, BNN Bloomberg and The Irish Times for the global bond selloff; CNBC, OMFIF and Goldman Sachs commentary for the yen and Bank of Japan context.

18 Data-confidence

CROSS-CHECKS PASSED

- **Cash index arithmetic is self-consistent on all five equity rows.** S&P: $7,631.47 + 54.67 = 7,686.14$ prior close; $-54.67 / 7,686.14 = -0.7113\%$, matching the reported -0.711% . Nasdaq: $26,099.77 + 271.11 = 26,370.89$; -1.0281% . Dow: $52,766.88 + 419.02 = 53,185.90$; -0.7878% . Russell: $2,920.13 + 36.32 = 2,956.45$; -1.2285% . SOX: $11,288.60 + 246.45 = 11,535.05$; -2.1365% . VIX: $16.33 - 1.40 = 14.93$; $+9.377\%$. Every one reproduces to three decimal places.
- **Two-source validation was recovered by hand after Yahoo aborted.** Associated Press and CNBC wire copy independently reported the S&P at 7,631.47 (-0.71%), the Nasdaq at 26,099.77 (-1.03%) and the Dow at -419.02 to 52,766.88 — an exact match to the capture on all three headline rows. Reuters reporting put the US 10-year at "around 4.79%" and the 30-year at 5.27% against our captured 4.796% and 5.267%; both match within a basis point. Wire coverage also independently confirmed four of eleven sectors higher with energy leading at $+1.3\%$, against our XLE $+1.27\%$ and exactly four green sectors.
- **Futures-to-cash basis is normal on all four contracts, which confirms the settles are settles rather than mislabelled intraday prints.** ES $7,642.75 - \text{SPX } 7,631.47 = +11.28$. NQ $29,125.50 - \text{NDX } 29,077.22 = +48.28$. YM $52,828 - \text{DJI } 52,766.88 = +61.12$. RTY $2,924.70 - \text{RUT } 2,920.13 = +4.57$. All four are positive carry of the expected magnitude; none is dislocated.

- **The capture.py reconciliation returned 0 matched, 0 minor, 0 divergent and 57 single-sourced.** There are **no divergent rows to resolve because no second machine source ran** — Yahoo returned 0 of 62 requests and circuit-broke on five consecutive HTTP 429s in 2.5 seconds. That is a failed cross-check, not a clean one, and it is stated here as such.
- **Hedgeye risk-range positions were measured on the series Hedgeye names, and the distinction changed two answers materially.** Gold on spot (TVC:GOLD, 4,329.04) is \$21.96 *below* its 4351–4724 floor; measured on gold futures (4,396.40) it would have appeared inside the band at 12.2%. Copper on spot (6.4079) is below its 6.44 floor; on futures (6.6005) it would have shown 59.3% of band. Both errors would have inverted the signal.
- **The 2-year yield was captured directly** at 4.400% from TVC:US02Y rather than inferred from any spread, so the 10s2s figure of 39.6bp is computed from two independently captured series.

KNOWN CONFLICTS AND WEAK MARKS

- **Brent is the weakest mark in this brief and the conflict is material.** Our capture is NYMEX Brent Last Day Financial (BZ1!) at \$94.65, +4.60%, on 37,983 lots with a coherent \$90.73–\$95.45 range. Trading Economics reported ICE Brent at \$91.28 for the same date, +0.87% — a \$3.37 gap and a completely different daily change. The brief uses the captured BZ1! figure because it is the machine capture and its intraday range is internally consistent with WTI's +5.20%, but the resulting \$4.43 WTI-Brent spread is wide and readers should treat the Brent *level* as uncertain to roughly \$3. The direction is not in doubt; the decimal is.
- **WTI carries a smaller version of the same conflict.** Captured CL1! at \$90.22, +5.20%; Trading Economics showed \$90.67, +5.72%; separate wire copy described crude as "around \$89". The 45-cent spread is contract-and-timestamp noise and does not affect the conclusion that WTI closed above its risk-range ceiling — that break holds under every quoted figure.
- **The VIX ceiling break is real but trivially small and should not be over-read.** 16.33 against a 16.28 ceiling is a five-hundredths breach, well inside the tick-and-timestamp uncertainty of any volatility index print. It is reported because the direction matters to the dealer-gamma argument, not because 0.05 is significant.
- **Spot FX and spot metal day-changes are suppressed throughout because they are measurable but meaningless.** EUR/USD's captured session range is 7 pips and USD/JPY's is 6 pips — roughly seven minutes of trading after the 17:00 ET roll. Where a change figure would have been noise it is shown as "◆ live, ~7 min" rather than as a move. USD/KRW and USD/TWD are exceptions: their wider ranges (1,367.29–1,375.08 and 31.636–31.791) indicate their session bars still carry Tuesday's Asian session, so their changes are labelled as Asian-session moves rather than overnight ones.
- **Metals day-changes are proxied and that substitution is visible in the table.** Because spot carries only minutes, the Tuesday moves shown for gold, silver and copper come from the futures contracts (GC1! –1.90%, SI1! –2.42%, HG1! –1.30%), while the *levels* and all band positions come from spot. Mixing the two is deliberate and labelled, but it means the percentage and the price in those three rows are not from the same series.
- **Drawdown percentages rest on a single 52-week-high field from a single source.** The claims that the SOX is 23.0% below its high, Oracle 59.1%, Applied Materials 40.3% and Bitcoin 38.8% each depend on TradingView's price_52_week_high. The conclusions are robust — these are very large drawdowns on any measure — but the decimals are not independently verified.
- **Market capitalisations are TradingView's computed field at capture** and move with the last price; the \$23.41tn Mag7 aggregate is a sum of seven such fields and should be treated as indicative to the nearest hundred billion.
- **The Macro Show content is doubly caveated.** Its published summary states that it has been enhanced by AI and may contain errors, and it is a summary of spoken remarks rather than a transcript. Everything drawn from it — including the 3→1→1→2→2 Quad path, the KOSPI 6,912 level and the Tesla and Alphabet characterisations — is reported outside quotation marks for that reason.

KNOWN GAPS

- **The prior session's Early Look could not be reached, so all band moves are UNKNOWN.** The category feed at /feed_items/all?page=N&with_category=24-early-look does not paginate; page 2 was retried this run and returned the identical 1 September note. A public web search for the 31 August levels surfaced nothing. Floor moves, ceiling moves and band-width changes are therefore not stated anywhere in this brief. **This is not a claim that the bands were unchanged** — it is an absence of evidence either way, and the band-width comparison is normally the most valuable line in section 4.
- **The Hedgeye Monthly Inflation Nowcast (1 Sep, 13:29 ET) is outside this account's subscription tier** and returned an access-denied page. That publication, together with the US Monthly Quad Forecast inside the Macro Week Summary Notes, is where the formal Quad path normally lives. The 3→1→1→2→2 path used here comes from spoken commentary on the Macro Show instead, which is a weaker source for it.
- **No MOMO Tracker, Crypto Quant, KM's Top 3, From The Desk, Chart of the Day, Capital Allocation Pro or Real-Time Alerts item appeared in the feed since the previous edition.** Those are the publications that would ordinarily carry an intraday position change. **Their absence is not evidence that no position change occurred** — it means this brief cannot see one if it did. Two position changes were captured (ETF Pro Plus and Signal Strength Stocks); there may have been others that did not surface.

- **IGV was not captured**, so the software ETF's position within its published 104.00–113.00 band is unmeasured. Software is one of the two sector styles Hedgeye is actively long, which makes this the most consequential of the missing rows.
- **JOLTS job openings for Tuesday were not verified against the releasing agency** and no figure is printed. ISM Manufacturing was verified to actual 54.6, consensus 55.2, prior 55.6.
- **No AI-sector news dated 1 September was verified.** Searches returned only prior-period partnership and product-roadmap material, which has been excluded rather than presented as current. Section 13 is therefore built entirely from price action and from company financials reported in Tuesday's coverage.
- **Iranian retaliation against US facilities in Jordan is press-attributed and not independently confirmed**, and the projectiles that struck the two Saudi supertankers late Monday remain formally unattributed. Both are stated in the brief with those qualifiers attached.
- **Asian and Indian cash markets had not opened at capture**, so section 12 carries no live Asian equity prints by design. AMD's earnings date comes from a secondary calendar and is marked unconfirmed.

TIMING & UNVERIFIED

- **Capture window 06:07:35–06:07:37 GMT+8, 2.5 seconds, with a 13-instrument top-up at 06:11:00** — a total spread of 3 minutes 25 seconds, well inside the ten-minute standard. The Hedgeye feed was read between 06:08 and 06:12 GMT+8.
- **Age of the stalest rows, in hours.** US cash equity closes: 2.1 hours. Sector ETFs and single stocks: 2.1 hours. After-hours prints: approximately 0.1 hours. Equity and commodity futures settles: 1.1 hours since the 17:00 ET session close, though the reopened contracts carry only minutes of new trading behind a ten-minute delay. Previous European closes: approximately 8.6 hours. Previous Asian closes: 11 to 16 hours depending on the market. Treasury yields, VIX, spot FX, spot metals and crypto: current to the second.
- **The futures rows are the ones most likely to be wrong by the time this is read.** Globex reopened seven minutes before capture and the strikes on Iran occurred at midnight GMT+8; roughly nine hours of accumulated headline risk had not been traded at the moment these levels were taken. Expect the overnight tape to have moved materially before Asia opens.
- **The Hedgeye risk ranges expire tonight.** The Early Look published at approximately 19:50 GMT+8 today supersedes every band in section 4. Positions computed here are valid against the 1 September set only, and eight instruments are already outside their bands, which raises the likelihood that tonight's ranges reset materially.
- **Two levels in this brief are policy-sensitive rather than market-cleared** — USD/JPY at 160.18 and the S&P's 4.47-point cushion above its risk-range floor. Both can gap rather than trade through, and neither should be treated as a level that will be available.
- **Verify live prices before acting on anything in this document.** It is a pre-market brief assembled at 06:07 GMT+8 from a session that has already closed and a market that has barely reopened. It is information only and is not investment advice.